

What is a home loan top-up and when should you consider it?

Ananya Grover | 4 min read | 16 Jul 2026, 01:28 PM IST



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Picture this: You took a home loan a few years ago, your EMIs have been

regular, and your property's value has appreciated over time. Then an unexpected expense comes up and your first instinct is to apply for a high-cost personal loan.

In many such cases, another option is worth considering—a home loan top-up. Since you're borrowing from your existing lender, the process is usually faster and involves minimal paperwork.

Here's how it works, when it makes sense, and what you should check before opting for one.



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A home loan top-up is an additional loan offered over and above your outstanding home loan balance. Since it is extended to an existing borrower, it generally requires only minimal documentation.

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Like your original home loan, it is a secured loan, with your property continuing to serve as collateral. That security allows lenders to offer it at a much lower interest rate than unsecured loans such as personal loans. Typically, the interest rate on a top-up is 0.25-1.5 percentage points higher than your existing home loan rate.

Most banks and NBFCs require borrowers to complete a cooling-off period of six to 12 months with timely EMI payments before becoming eligible for a top-up. A clean repayment track record is equally important.

The amount you can borrow depends largely on your property's current market value. If your property's value has appreciated since you took the original loan, you could qualify for a larger top-up.

Consider this example.

Suppose you bought a flat for ₹1 crore five years ago using a home loan of ₹75 lakh at an interest rate of 8.5% for 20 years. Since home loan EMIs are interest-heavy in the initial years, your outstanding loan after five years is still around ₹66 lakh. Meanwhile, the property's value has risen to ₹1.3 crore.

Most lenders cap the combined loan-to-value (LTV) ratio of your existing home loan and the top-up at around 65-75% of the property's current value. At a 70% LTV, the maximum loan on a ₹1.3 crore property works out to ₹91 lakh. After subtracting the outstanding ₹66 lakh, you could be eligible for a top-up of roughly ₹25 lakh.

Top-up loans are usually priced 0.25-1% above your existing home loan rate. So, if your home loan carries an interest rate of 8.5%, the top-up is likely to be offered at around 8.75-9.5%—still significantly cheaper than a personal loan, which typically costs 11-24%, depending on your credit profile. In addition, the repayment tenure is generally much longer than that of a personal or gold loan, helping keep **EMIs** lower.

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Where it helps

A home loan top-up can be used for most legitimate personal or professional needs, provided the purpose is not speculative.

Many borrowers use it for home renovation, wedding expenses, medical emergencies, higher education or even to consolidate expensive debt into a single lower-cost EMI.

However, current regulations prohibit using a top-up loan to invest in the stock market, buy cryptocurrencies or speculate in real estate. **Lenders** may also ask borrowers to provide proof that the funds were used for the declared purpose.

For interiors and renovation, however, Mangesh Zope, founder of Peaceful-Loans, suggests opting for a composite home loan, which includes interior expenses at the same interest rate as the **home loan**.

Many borrowers avoid this option to save on the MODT (Memorandum of Deposit of Title Deed) charge, which is calculated as a percentage of the total loan amount.

MODT is a government charge paid when property documents are deposited with the lender as security for the loan. It serves as a legal record of the lender's claim over the property. The charge varies across states. In Maharashtra, it ranges between 0.1% and 0.3%, while in Karnataka it is 0.5%.

According to Zope, people in Bengaluru, for example, often say, "I'll deal with that after possession," perhaps four years later. That decision, he says, frequently proves more expensive than expected.

To avoid paying a one-time MODT charge of 0.5% when taking the original loan, borrowers often end up paying the same 0.5%—or even more—later if they opt for a top-up instead, Zope explained.

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What to watch out for

Banks usually won't give you more than two top-ups on the same loan, according to Zope, after that, your only option is to switch to a new lender entirely which means starting the whole loan process over, with fresh costs and paperwork.

With a second or third top-up, or when you switch lenders, insurance is often pushed onto you under pressure and at a high cost and because you're usually desperate for the money by then, you just go along with it, he said and added most people also don't realize that a top-up loan comes at a higher

interest rate than their original home loan. He suggests asking upfront about the price as well as insurance too, so you're not forced to buy it at the last minute.

Overall, a top up can be one of the cheapest and fastest ways to borrow more money but experts advise to keep note of the timing, property value, and the overall cost of money before taking one.

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A viral SIP myth is fooling investors. Here's why

Dhirendra Kumar (Value Research) | 4 min read | 19 Jul 2026, 07:00 AM IST



The viral claim of a mere 6.7% SIP return over 20 years sparks intense debate about the integrity of investment strategies.(Pexel)

SUMMARY

A viral post claims SIPs delivered just 6.7% over two decades. But the calculation is flawed—and the flat market it cites is precisely when SIPs quietly do their best work.

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Every few months, a number escapes onto social media and takes on a life of its own. This time, it is 6.7%, presented as the real return that SIPs have delivered on the Nifty over 20 years, compared with the 12-15% the industry